This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

SoftBank's Catalyst From OpenAI Funding Round



Sharon Chen (BI)
Team: Credit
BI Credit Analyst

SoftBank Faces Double-Edged Sword on OpenAI $1.2 Trillion Round

(Bloomberg Intelligence) -- SoftBank Group is likely to face liquidity pressure and high funding costs if it commits fresh capital to OpenAI's potential funding round at a higher $1.2-$1.5 trillion valuation. It already faces record yields on a $11 billion bond deal. If SoftBank declines to participate, its loan-to-value ratio could decline by 1-2 percentage points. Though it maintains ample room for further investment under a 25% LTV ceiling, higher exposure to OpenAI risks weakening its portfolio quality. (09/22/26)

1. Ample LTV Room for Further Investment

SoftBank Group has room to invest a further $30 billion or more in OpenAI while keeping loan-to-value, excluding non-recourse asset-backed financing, below its self-imposed 25% ceiling. Its investment cushion depends on Arm's share price and OpenAI's valuation. OpenAI is in early talks for its next funding round that could value it at $1.2-$1.5 trillion, according to news reports.

SoftBank's LTV is set to increase to 15-20% from 13% in June if its $26 billion bridge-loan prepayment and pending commitments -- remaining OpenAI investment and ABB's robotics business and DigitalBridge purchases -- are mainly funded by recourse debt. The $5 billion upsizing of an Arm-backed margin loan and a $7.4 billion Intel-backed prepaid forward contract, according to the company's draft bond offering circular, are excluded from its LTV calculation. A higher OpenAI valuation can offset some of the increase, with LTV staying closer to the mid-teens if SoftBank doesn't participate in the new round. (09/22/26)

Click for Scenario Analysis

Loan-to-Value, excl. Asset-Backed Financing		OpenAI Pre-Money Valuation ($ billions)		
		1000	1200	1400
Further Investment in OpenAI ($ billions)	-	16%	15%	15%
	15	18%	17%	17%
	30	21%	20%	19%

Note: As of June 30, 2026, except Arm's and SoftBank Corp's share price which are as of September 21, 2026. Assumes the acquisition of ABB's robotics arm and DigitalBridge, along with $20 billion investment in OpenAI are completed and fully debt-funded, including a $5 billion upsize of the Arm-backed margin loan and $7.4 billion raised from Intel monetization. LTV, excl. Asset-Backed Financing is net of margin loans and prepaid forward contracts, except $10 billion OpenAI-linked margin loans which are guaranteed by SoftBank Group. OpenAI stake is restated based on different pre-money valuation.

Source: Bloomberg Intelligence

2. Bond, Loan Rush to Bolster Liquidity

SoftBank Group appears to have enough funding to cover two years of bond maturities and committed investments in OpenAI, ABB's robotics unit and DigitalBridge, after lining up more than $25 billion of loans and issuing $18 billion of bonds across dollar, euro and yen during 3Q. It also monetized its Intel stake through prepaid forward contracts, according to its bond offering circular. Part of the proceeds were used to prepay a $26 billion bridge loan in mid-September. Its next major

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the ("BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

refinancing needs do not arrive until 2028, when a $12 billion term loan and a $10 billion OpenAI-linked margin loan mature.

The company is set to increase its liquidity buffer after a steep drop in the June quarter. Still, further AI spending -- including data-center capex or participation in another OpenAI funding round -- could raise funding needs again.

Cash, short-term investment and undrawn facilities fell to ¥2.3 trillion in June from ¥3.5 trillion in March. Cash and $20 billion in loan proceeds were used to repay a $12 billion bridge loan, fund a $10 billion OpenAI investment and allocate near ¥1 trillion to US data centers and power generation. (10/01/26)

Improved Liquidity After Refinancing

($ billions)	
Parent Company (SBG) Cash	5.6
Short Term Investments and Bond Investments	5.6
Undrawn Capacity	3.0
OpenAI-Linked Margin Loans	10.0
Bonds Issued Between July-Sept	18.1
Term Loans for ABB Robotics Deal	1.8
Two-Year Term Loan	11.9
Arm Margin Loan Upsize	5.0
Intel Prepaid Forward Transaction	7.4
SBG Pro Forma Liquidity as of June 2026	68.3
Bonds Due, Callable up to June 2027	(3.9)
Bonds Due, Callable up to June 2028	(5.4)
Bridge Loan Due in March 2027	(25.9)
Pending Investments - OpenAI, ABB Robotics, DigitalBridge	(18.5)
SBG Excess Funding	14.6

Note: Pending investments includes $10 billion for OpenAI. Two-year term loan and Arm margin loan upsize per Bloomberg News and bond offering circular, Intel monetization per bond offering circular.
Source: Company Filings, Bloomberg Intelligence

Bloomberg Intelligence BI

3. OpenAI Concentration to Weaken Portfolio

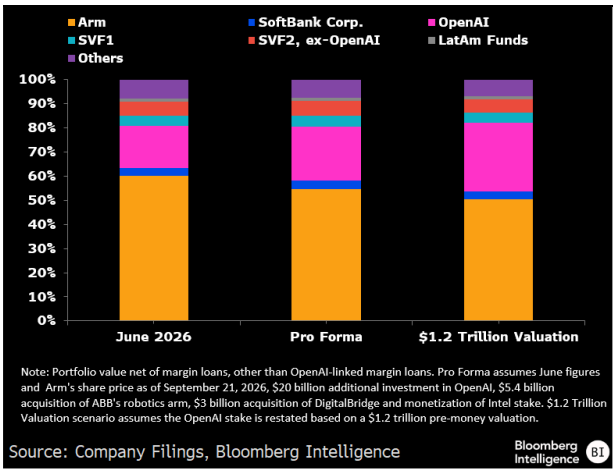
SoftBank Group's portfolio quality is likely to weaken as its OpenAI exposure grows. The AI company will probably account for 20-25% of portfolio value -- after the final $10 billion investment tranche in October -- based on the $852 billion valuation from OpenAI's latest funding round and Arm's Sept. 21 share price. OpenAI's share can approach 30% if its valuation reaches $1.2 trillion, though listed holdings could fall to about 60% of portfolio value from 69% at the end of June. OpenAI is riskier than Arm -- SoftBank's largest holding -- as it's unlisted, unrated and unprofitable. Still, a fresh funding round will provide OpenAI with more cash to absorb its expected cash burn.

SoftBank remains reliant on OpenAI's IPO timing to realize value from its holding. Its ability to borrow against that stake seems more constrained than for listed assets, with a margin loan linked to OpenAI shares requiring a guarantee from the company. (09/22/26)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

OpenAI Could Approach 30% of Portfolio Value



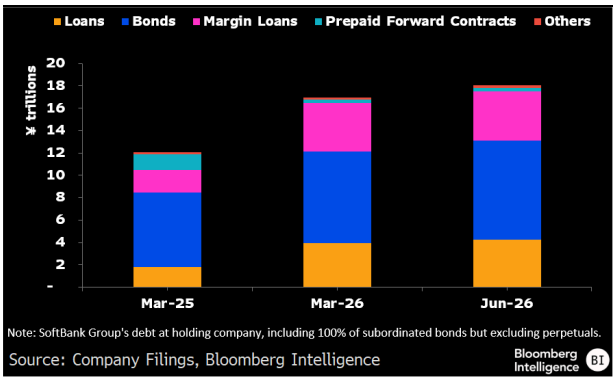
4. More OpenAI Funding to Strain Liquidity

Any further capital commitment to OpenAI could weaken SoftBank Group's liquidity and widen bond spreads. Its dollar and euro bond yields are trading wide due to supply risk and concerns around its growing OpenAI exposure. The company may face 9% or more yields in dollar -- exceeding the previous high of 8.5% priced in April -- as it issues bonds to fund the final $10 billion investment in OpenAI, highlighting the potential funding-cost implications of further balance-sheet expansion.

The company's gross debt is expected to approach $130 billion from roughly $70 billion in March 2025, before it shifted its focus to AI. This pro forma calculation includes margin loans and subordinated notes, excludes derivatives and perpetuals, and accounts for a planned $11 billion bond deal, new loans and a $26 billion bridge-loan prepayment.

SoftBank Group is already the largest Asian offshore high-yield issuer and tops the Bloomberg Pan-European High Yield and ICE BofA Euro High Yield indexes. A $10 billion 144A issue could make SoftBank a top 10 issuer in the Bloomberg US Corporate High Yield and ICE BofA US High Yield indexes.
(09/22/26)

Rising Debt to Fund AI Investments



5. Aggregate OpenAI Investment of $65 Billion

(09/22/26)

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.

This document is being provided for the exclusive use of YUBO SUI at THE CHINESE UNIVERSITY OF HONG KONG. Not for redistribution.

Participation in OpenAI's Past Share Sales

	Transaction	Pre-Money / Transaction Valuation ($ billions)	Amount Raised / Sold ($ billions)	Post-Money Valuation ($ billions)	Key Investors
Oct. 2024	Primary funding round	150	7	157	Thrive Capital, Microsoft, SoftBank
Mar. 2025	SoftBank-led primary funding round	260	41	301	SoftBank ($30 billion), Dragoneer Investment Group
Oct. 2025	Secondary employee share sale	500	7	500	Thrive Capital, SoftBank, Dragoneer, MGX and T. Rowe Price
Feb.-Mar. 2026	Primary funding round	730	122	852	Amazon ($50 billion), Nvidia ($30 billion), SoftBank ($30 billion)

Source: Company Filings, Bloomberg Intelligence

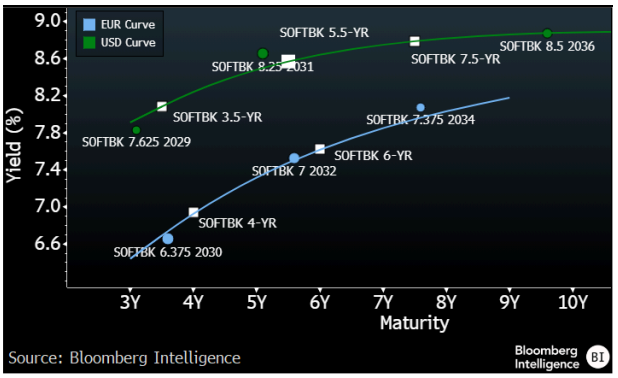
Bloomberg Intelligence

6. Sounding Out Levels Point to Significant Concession

SoftBank Group's sounding levels for its planned $10 billion and €1 billion bond sale look wide and point to a sizable new-issue premium. Its most recently issued bonds, already trading wide along the maturity curve, imply yields in the low-8%, high-8% and around 9% areas for comparable 3.5-, 5.5- and 7.5-year dollar maturities, versus indicative levels of 9% to low-9%, mid-9% and high-9% to 10%, as reported by Bloomberg News. The concession could be smaller in euros, with sounding levels in the mid-to-high-7% for four years and mid-8% for six years, versus secondary yields of roughly low-7% and high-7%, respectively. The 7.5-year dollar tranche could price at SoftBank's highest-ever dollar yield, above the 8.5% coupon on its 10-year bond issued in April.

SoftBank's April deal priced with a new-issue premium of about 30-60 bps, with a larger premium for its euro bonds. The deal was much smaller at $1.5 billion and €1.75 billion. (09/22/26)

Implied Yields Based on Most Recently Issued Bonds



To contact the analyst for this research:

Sharon Chen (BI) at schen1281@bloomberg.net

This report may not be modified or altered in any way. The BLOOMBERG PROFESSIONAL service and BLOOMBERG Data are owned and distributed locally by Bloomberg Finance LP ("BFLP") and its subsidiaries in all jurisdictions other than Argentina, Bermuda, China, India, Japan and Korea (the "BFLP Countries"). BFLP is a wholly-owned subsidiary of Bloomberg LP ("BLP"). BLP provides BFLP with all the global marketing and operational support and service for the Services and distributes the Services either directly or through a non-BFLP subsidiary in the BLP Countries. BFLP, BLP and their affiliates do not provide investment advice, and nothing herein shall constitute an offer of financial instruments by BFLP, BLP or their affiliates.